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CASE STUDY

Pearlita is a trader. She buys and sells electronic goods. She maintains double entry book- keeping. She purchases and sells goods both on cash and credit bases. If the purchased goods are not in good condition, she sends them back to her supplier. At the same time, she also accepts if her customers return the goods sold to them, when the goods are not in good condition. She maintains a bank account for her business. She receives and pays money through bank transactions.

Now, discuss on the following:

- Why does she maintain double entry book keeping?
- Do all the business units engage in credit transaction?
- Can you think of some business units that have only cash transactions?
- Is it necessary for Pearlita to maintain a separate bank account for business?
- What will happen if she uses her personal bank account for her business transactions?
- Identify the business documents involved in this case study.
- Can you think of some assets and liabilities for Pearlita's business?

To explore further

For small business entities generally full set of accounts ay not be maintained. Is it possible to calculate profit or loss for such entities? How?

Reference

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